

Regulatory applicability assessment

EU AI Act and UAE regulatory context | AI-enabled recruitment screening

PURPOSE OF THIS DOCUMENT

Work out which laws and policy frameworks apply to the screening tool, separate binding law from guidance, list the facts still missing, and turn the result into an action plan.

Document control	Detail
Organisation	Gulf Professional Services PJSC (fictional)
Use case ID	AI-UC-001
Assessment ID	REG-001
Assessment status	Preliminary / fact-dependent
Business owner	Chief Human Resources Officer
Assessment owner	Legal and AI Governance
Version and date	Version 1.0 17 September 2026
Source artefacts	Documents 1–3: registration, impact assessment and risk register
Prepared by	Tarunima Vijay

1. Executive conclusion

PRELIMINARY CONCLUSION

UAE data protection law applies to the applicant data. The UAE AI Charter is not binding, but it is the standard the firm will be measured against. Whether the EU AI Act applies cannot be decided from the UAE headquarters alone: it depends on where the provider is established and where the outputs are used. If it does apply, ranking and shortlisting candidates is an Annex III high-risk use, and those obligations apply from 2 December 2027.

Question	Preliminary assessment
Is this a final legal opinion?	No. It is a preliminary view that a qualified lawyer would need to confirm.
Does the UAE context matter?	Yes. Applicant data is covered by data protection law. Which law depends on where the firm is set up: onshore, the federal PDPL; in the DIFC or ADGM, the free-zone data protection law instead.
Does the EU AI Act automatically apply because candidates may be European?	Not on that basis alone. Article 2 depends on where the provider is established and where the system's output is used, and neither is confirmed yet.
If the EU AI Act applies, is the use likely high-risk?	Yes, subject to final classification. The system ranks and filters people for recruitment and shapes who is shortlisted.
Can the organisation rely on human review to avoid high-risk classification?	No. The rankings shape selection, so recruiter review is a required safeguard, not an exemption.
Immediate action	Confirm territorial scope and roles, vendor facts, data locations, applicant locations and decision flow before completing the compliance mapping.

2. Facts required for applicability

Fact question	Why it matters	Current case assumption / status
Where is the employer or deployer established?	Helps identify applicable UAE or EU territorial rules.	UAE-headquartered; exact legal entity and free-zone status not specified.
Where is the provider established and where is the system placed on the market?	Relevant to EU AI Act provider scope and contractual allocation.	Third-party provider not yet selected.
Where are system outputs used?	EU AI Act Article 2 includes third-country providers and deployers where output is used in the Union.	UAE use assumed; EU use not confirmed.
Where are affected persons located?	Relevant to territorial analysis and privacy obligations.	Applicants may be in other jurisdictions; locations not confirmed.
Who determines intended purpose and substantial modifications?	May affect whether the organisation is a deployer, provider or assumes provider obligations.	Organisation intends to procure and deploy; modification rights are unknown.
Does the system only parse CVs, or does it rank and recommend?	Article 6(3) can exempt narrow procedural tools, but not systems that shape selection.	It ranks and recommends, and the ranking decides where recruiters look first.
Does it perform profiling?	Under Article 6(3), an Annex III system that profiles people is always high-risk. A CV-ranking tool is very likely to profile.	To be determined from system design and vendor documentation.
What personal and sensitive data is processed?	Determines privacy, fairness and data-governance requirements.	CV and application data; inferred or sensitive data unknown.

3. Regulatory landscape

Instrument	Nature	Preliminary relevance to case
EU Artificial Intelligence Act, Regulation (EU) 2024/1689	Binding EU regulation where its scope applies.	Applies only if the Article 2 territorial tests are met; if so, likely high-risk. Annex III obligations apply from 2 December 2027 under the Digital Omnibus, Regulation (EU) 2026/1744.
UAE Federal Decree-Law No. 45 of 2021 on Personal Data Protection	Binding UAE federal law, subject to its scope and exclusions.	Covers electronic processing of applicant data, including security, individual rights and cross-border transfers. Executive Regulations had not been issued as at September 2026. If the firm sits in the DIFC, the DIFC Data Protection Law 2020 and its Regulation 10 on AI systems apply instead.
UAE Charter for the Development and Use of Artificial Intelligence	National policy charter / governance principles.	Relevant benchmark for responsible use, privacy, safety, bias, transparency, human oversight, governance and accountability.
Dubai AI Ethics Principles and Guidelines	Non-mandatory ethics guidance for public and private sectors.	Useful supplementary benchmark for a Dubai-based firm.
Employment, discrimination and sector-specific requirements	Potentially binding laws and rules depending on facts.	Not covered here; needs a separate review by UAE employment counsel.

4. EU AI Act classification analysis

Classification step	Assessment	Preliminary result
1. AI system	The proposed tool processes inputs and generates scores, rankings or recommendations with potential influence on decisions.	Treat as an AI system for preliminary assessment.
2. Territorial scope	Article 2 includes EU providers and deployers and certain third-country providers or deployers where output is used in the Union.	Unresolved. Confirm provider, deployer, location and output-use facts.
3. Prohibited-practice screen	The registered scope excludes emotion recognition, biometric categorisation and autonomous rejection.	No prohibited practice identified from current facts; reassess if scope changes.

Classification step	Assessment	Preliminary result
4. Annex III employment use	The system is intended to analyse, filter, score and rank candidates for recruitment.	Matches the employment recruitment and selection use-case pattern.
5. Article 6(3) filter	The system does more than a narrow administrative task: it decides which candidates receive attention.	Exception is unlikely on the stated facts; profiling status must also be confirmed.
6. Role allocation	The employer deploys a third-party system, so provider duties stay with the provider unless the firm substantially modifies it. As a private employer, the firm does not need an Article 27 fundamental rights impact assessment; Document 2 covers similar ground.	Preliminary deployer role; contractual and technical facts required.
7. Classification	If EU territorial scope applies, the system is strongly indicative of an Annex III high-risk AI system.	Preliminary High-Risk; legal validation required.

WHY HUMAN REVIEW DOES NOT END THE ANALYSIS

Official EU examples treat automated job-matching and ranking as high-risk where scores and rankings serve as a primary input to shortlisting, even when recruiters may review or override recommendations. In this case, the ranking is the main input to shortlisting.

5. Indicative EU AI Act obligations mapping

Workstream	Reference	Primary role	Requirement theme	Indicative evidence	Case gap
Risk management	Articles 8–9	Provider	Lifecycle risk system; identify, evaluate, mitigate and test risks.	Risk-management procedure, risk file, testing and approvals	Provider evidence required; deployer should review and operate within instructions.
Data and data governance	Article 10	Provider	Training, validation and test datasets subject to appropriate governance and quality practices.	Data specifications, provenance, quality, representativeness and bias testing	Unknown; request vendor evidence.
Technical documentation	Article 11 and Annex IV	Provider	Maintain documentation demonstrating system design and compliance.	Technical file, intended purpose, architecture, performance and limitations	Unknown; contract for access to relevant evidence.
Record keeping	Article 12	Provider / deployer	Enable automatic logging appropriate to the system and retain logs as required.	Logging specification, access, retention and review records	Not designed.
Transparency and instructions	Article 13	Provider; used by deployer	Provide sufficient information for deployers to interpret output and use the system appropriately.	Instructions, limitations, performance, oversight and maintenance information	Unknown.
Human oversight	Article 14 and deployer duties	Provider and deployer	Design and implement effective oversight by competent, trained and authorised persons.	Oversight SOP, training, override, stop-use and monitoring evidence	Planned but not evidenced.
Accuracy, robustness and cybersecurity	Article 15	Provider; deployer operates accordingly	Achieve appropriate levels and address errors, resilience and security.	Acceptance criteria, validation, robustness and security testing	Unknown.
Quality management and provider duties	Articles 16–17	Provider	Comply with provider obligations and maintain a quality management system.	QMS, accountability framework, procedures and records	Provider not selected.
Deployer use and monitoring	Article 26	Deployer	Follow the provider's instructions, assign trained oversight staff, control input data, monitor operation, keep logs, and tell applicants they are subject to a high-risk AI system (Article	Deployment SOP, competent users, logs, monitoring and incident escalation	To be designed.

Workstream	Reference	Primary role	Requirement theme	Indicative evidence	Case gap
			26(11)). AI literacy duties under Article 4 also apply.		
Conformity, declaration, CE marking and registration	Relevant high-risk provisions	Provider	Complete applicable pre-market steps and registration.	Conformity assessment, declaration, CE evidence and database registration	Provider evidence required.
Post-market monitoring and corrective action	High-risk lifecycle provisions	Provider / deployer cooperation	Monitor performance and address incidents or non-compliance.	Monitoring plan, complaints, incidents, corrective action and change records	To be designed.

6. UAE privacy and responsible-AI mapping

UAE theme	Application to recruitment use case	Evidence or action required
Personal-data governance	Applicant CVs are personal data processed electronically, so the PDPL applies, subject to its exclusions and free-zone carve-outs.	Confirm applicable legal regime, processing grounds, purposes, notices and governance responsibilities.
Accuracy and correction	Under the PDPL, individuals can ask for inaccurate data to be corrected and for processing to be restricted or stopped.	Provide correction and complaint routes; ensure corrected data can flow to the recruitment system.
Security and confidentiality	The PDPL requires appropriate technical and organisational measures to protect personal data.	Security assessment, access controls, encryption, logging and incident response.
Cross-border transfers	The PDPL allows transfers outside the UAE only to jurisdictions with adequate protection or under specified safeguards. This matters for a cloud-hosted vendor.	Map data locations, vendor and subprocessors; complete transfer assessment and contractual controls.
Algorithmic bias	The UAE Charter emphasises addressing algorithmic bias and fair, equitable and inclusive access.	Fairness review, representative testing, threshold approval and remediation.
Transparency	The Charter seeks clear understanding of how AI operates and makes decisions.	Candidate notice, reviewer guidance, reason information and explanation design.
Human oversight	The Charter calls for human judgement and oversight to correct errors or bias. The PDPL (Article 18) also lets individuals object to decisions based solely on automated processing.	Meaningful review, authority to override and stop use, training and decision records.
Governance and accountability	The Charter emphasises proactive governance, accountability, ethical and transparent use.	Named owners, decision rights, approval forum, monitoring and audit trail.

IMPORTANT LEGAL-SCOPE CAVEAT

The UAE has federal, free-zone and sector-specific legal contexts. The fictional organisation's legal entity, establishment, applicant population, data location and processing arrangements must be confirmed before concluding which privacy and employment rules apply.

7. Regulatory action plan

Priority action	Owner	Output
Confirm entity, establishment, applicant and output-use locations.	Legal / HR	Territorial scope memo.
Confirm provider and deployer roles and any system modifications.	Legal / Technology / Procurement	Role and responsibility matrix.
Obtain vendor classification, technical and conformity evidence.	Procurement / AI Governance	Vendor regulatory evidence pack.
Complete UAE privacy applicability and processing assessment.	Privacy / Legal	Approved privacy assessment and data-flow record.
Validate EU high-risk classification if Article 2 scope is met.	EU legal counsel / AI Governance	Signed classification assessment.

Priority action	Owner	Output
Map final obligations to controls, owners and evidence.	AI Governance / Control owners	Compliance obligations register.
Align candidate notice, correction, complaint and human review.	HR / Legal	Operational transparency and redress package.
Establish regulatory-change and reassessment process.	Legal / AI Governance	Horizon-scanning and change-control procedure.

8. Assessment conclusion and sign-off

RECOMMENDATION

Do not claim EU AI Act compliance or non-applicability until territorial scope, operator roles and provider evidence are confirmed. Treat the use case as “EU AI Act high-risk if applicable”, plan for the 2 December 2027 date, and run UAE data protection as a required workstream now.

Role	Decision / review status	Name and date
Business owner	Acknowledged / returned	Pending
Legal counsel	Applicability validated / further facts required	Pending
Privacy officer	UAE privacy scope validated / further facts required	Pending
AI Governance Lead	Obligations mapped / remediation opened	Pending
Procurement / Technology	Provider evidence received / incomplete	Pending

Sources and portfolio disclaimer

- EUR-Lex consolidated text of Regulation (EU) 2024/1689, version displayed 27 July 2026:
<https://eur-lex.europa.eu/eli/reg/2024/1689/2026-07-27/eng>
- Digital Omnibus on AI, Regulation (EU) 2026/1744 (in force 27 July 2026)
- DIFC Data Protection Regulations, Regulation 10 (Autonomous and Semi-Autonomous Systems)
- European Commission AI Act Service Desk, Employment examples:
<https://ai-act-service-desk.ec.europa.eu/en/employment-0>
- European Commission AI Act Service Desk, High-Risk AI Systems:
<https://ai-act-service-desk.ec.europa.eu/en/taxonomy/term/71>
- Official UAE Government Portal, Data protection laws:
<https://u.ae/en/about-the-uae/digital-uae/data/data-protection-laws>
- Official UAE Government Portal, UAE Charter for the Development and Use of Artificial Intelligence:
<https://u.ae/en/about-the-uae/strategies-initiatives-and-awards/policies/Ai/The-UAE-Charter-for-the-Development-and-Use-of-Artificial-Intelligence>